ACC501 - Business Finance (Quiz # 2)

Question # 6 of 10 (Start time: 03:39:27 PM, 30 December 2025)

Which one of the following typically applies to preferred stock but not to common stock?

Select the correct option

- (●) Cumulative dividends
- ( ) Tax deductible dividends
- ( ) Voting rights
- ( ) Dividend yield

ACC501 - Business Finance (Quiz # 2)

Question # 5 of 10 (Start time: 03:39:16 PM, 30 December 2025)

A project whose acceptance prevents the acceptance of one or more alternative projects is referred to as a(n):

Select the correct option

- (●) mutually exclusive project
- ( ) contingent project
- ( ) independent project
- ( ) dependent project

ACC501 - Business Finance (Quiz # 2)

Question # 4 of 10 (Start time: 03:39:03 PM, 30 December 2025)

Which of the following is an example of positive covenant?

Select the correct option

○	Barring merger with another firm
●	Maintaining any collateral or security in good condition
○	Limiting the amount of dividend according to some formula
○	Restricting pledging assets to other lenders

ACC501 - Business Finance (Quiz # 2) **Quiz Start Time: 03:38 PM, 30 December 2025**

Question # 3 of 10 (Start time: 03:38:43 PM, 30 December 2025) **Total Marks:** 1

Suppose you have just passed your Intermediate and now planning to get admission in some college for graduation. You have three choices of colleges A, B, and C. You bought the prospectuses for all these three colleges and finally got admission in College B. The cost incurred on the prospectuses of other two colleges A and C will be considered as:

Select the correct option

- ○ Fixed Cost
- ◉ Sunk Cost
- ○ None of the given options
- ○ Opportunity Cost

ACC501 - Business Finance (Quiz # 2) **Quiz Start Time: 03:38 PM, 30 December 2025**

Question # 2 of 10 (Start time: 03:38:30 PM, 30 December 2025) **Total Marks:** 1

Over the past four years, a company has paid dividends of Rs. 1.00, 1.10, 1.20 and 1.30 in Year 1, 2, 3 and 4 respectively. The same pattern is expected to continue in the future as well. This is an example of a company paying dividends that grows by:

Select the correct option

- ○ At a decreasing rate
- ◉ 10 percent each year
- ○ At a constant rate
- ○ A decreasing amount

ACC501 - Business Finance (Quiz # 2)

Question # 1 of 10 (Start time: 03:38:11 PM, 30 December 2025)

Which one of the following statements is INCORRECT regarding a broker?

Select the correct option

○	An agent who arranges security transactions among investors
○	An agent who do not buy or sell securities for their own
◉	An agent who buy and sell securities from a maintained inventory
○	Matching investors wishing to buy and sell securities

ACC501 - Business Finance (Quiz # 2)

Question # 10 of 10 (Start time: 03:40:41 PM, 30 December 2025)

Preferred stock is similar to debt as both:
I. frequently carry credit ratings.
II. can be callable.
III. receive a stated payment amount.
IV. are considered debt instruments.

Select the correct option

○	II and IV only
○	I and III only
○	II, III, and IV only
◉	I, II, and III only

ACC501 - Business Finance (Quiz # 2)

Question # 9 of 10 (Start time: 03:40:28 PM, 30 December 2025)

Which of the following is a characteristic of preferred stock?

Select the correct option

- (●) Dividends on these stocks can be cumulative
- ( ) These stocks have not stated liquidating value
- ( ) These stocks have not any kind of priority over common stocks
- ( ) These bonds hold credit ratings quite different from bonds

ACC501 - Business Finance (Quiz # 2)

Question # 8 of 10 (Start time: 03:40:15 PM, 30 December 2025)

Which of the following is the amount of time required for an investment to generate cash flows sufficient to recover its initial cost?

Select the correct option

- ○ Accounts Receivable period
- ○ Yield to maturity
- ◉ Payback period
- ○ Maturity Period

ACC501 - Business Finance (Quiz # 2)

Question # 7 of 10 (Start time: 03:39:43 PM, 30 December 2025)

An investment will be _____ if the IRR doesn't exceeds the required return and _____ otherwise.

Select the correct option

○	Accepted; rejected
○	Accepted; accepted
○	Rejected; rejected
◉	Rejected; accepted